

Texas Mortgage Loan Officer Professional Operational Handbook and Exam Prep Manual

Professional Standard

This is not a condensed study guide. It is a combined operating handbook and exam preparation manual for a new Texas mortgage loan officer entering a company training environment with the goal of passing the SAFE Mortgage Loan Originator Test with Uniform State Content and beginning field work under experienced supervision.

The manual is written from the perspective of a mortgage company that expects a new MLO to develop three forms of competence at the same time:

1. Regulatory competence: knowing the federal, state, and Texas-specific rules that govern mortgage origination.
2. Operational competence: knowing how a mortgage file moves from lead to funded loan without creating avoidable risk.
3. Professional judgment: knowing when to slow down, escalate, document, refuse improper requests, and protect the borrower, company, and license.

Primary reference anchors checked May 25, 2026:

- NMLS SAFE MLO National Test with Uniform State Test Content Outline:
https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_faq/mlo_testing_hbk_testOutline.html
- NMLS Preparing for the Test:
https://mortgage.nationwidelicensingsystem.org/knowledge/Products/nmls/pubs/testingHbk/education/mlo_testing/mlo_test_guide/mlo_testing_hbk_testprep.html
- CFPB Regulation Z, mortgage disclosure rules: <https://www.consumerfinance.gov/rules-policy/regulations/1026/>
- CFPB Regulation X, RESPA rules: <https://www.consumerfinance.gov/rules-policy/regulations/1024/>
- CFPB Regulation B, ECOA rules: <https://www.consumerfinance.gov/rules-policy/regulations/1002/>
- CFPB Regulation C, HMDA rules: <https://www.consumerfinance.gov/rules-policy/regulations/1003/>
- Texas Department of Savings and Mortgage Lending mortgage origination laws: <https://www.sml.texas.gov/mortgage-origination/laws/>
- Texas SML mortgage origination FAQs: <https://www.sml.texas.gov/mortgage-origination/faqs/>
- Texas OCCC Residential Mortgage Loan Originators: <https://occc.texas.gov/industry/RMLOs>

Important limitation:

This manual is for training and exam preparation. It does not replace company policy, compliance guidance, investor guidelines, Texas legal review, current agency handbooks, or advice from licensed counsel.

Part I - The Professional MLO Operating Model

Chapter 1 - What the Mortgage Loan Officer Is Paid to Do

1.1 The Real Job

A mortgage loan officer is often described as a salesperson. That description is incomplete and can create bad habits. The professional MLO is a licensed consumer-credit professional responsible for originating residential mortgage loans in a way that is lawful, documented, suitable to borrower goals, and capable of surviving underwriting, audit, complaint review, and regulator scrutiny.

The MLO is paid to create lawful, fundable mortgage transactions. A loan that closes through misrepresentation, missing disclosures, undisclosed debts, unverified income, appraisal pressure, or illegal referral compensation is not a professional success. It is a risk event.

The role has five operating functions:

1. Intake: understand the consumer's goal, financial profile, property objective, timeline, and constraints.
2. Education: explain process, products, costs, timing, risks, and required documentation in plain language.
3. Origination: take applications and offer or negotiate loan terms only when properly licensed, sponsored, and authorized.
4. Coordination: move the file through processing, underwriting, appraisal, title, insurance, closing, funding, and post-closing handoff.
5. Risk control: prevent misrepresentation, fair-lending problems, privacy breaches, fee errors, undisclosed compensation, and unsupported promises.

The exam tests the laws and concepts behind these functions. The field tests whether you apply them under pressure.

1.2 The MLO's First Duty: Accurate Representation

Every mortgage file is built from representations:

- The borrower represents identity, income, assets, debt, occupancy, intent, and property information.
- The MLO represents loan terms, process, required documents, possible programs, and status.
- The company represents disclosures, fees, underwriting decisions, and closing terms.

- Third parties represent value, title condition, insurance, employment, deposits, and settlement charges.

Bad mortgage files usually begin when someone allows an inaccurate representation to remain in the file because it helps the loan appear easier than it is.

Professional rule:

If a fact matters to eligibility, pricing, risk, disclosure, or consumer choice, it must be accurate, documented, and handled through the correct channel.

1.3 The Three Audiences for Every File

When working a file, write and act as if three audiences may review it later:

1. Underwriting: Did the file meet credit, capacity, collateral, capital, and compliance requirements?
2. Compliance/audit: Were disclosures, advertising, licensing, fair lending, privacy, and compensation handled correctly?
3. Regulator/litigation/complaint reviewer: Was the borrower treated lawfully and honestly, and can the company prove it?

This is why experienced MLOs document calls, avoid unsupported promises, and escalate unusual facts early.

1.4 Company Training Expectation

A serious mortgage company does not train a new MLO to "sell loans" before training file discipline. The training order should be:

1. Licensing boundaries.
2. Consumer protection laws.
3. Application trigger and disclosure timing.
4. Privacy and data security.
5. Loan products and basic eligibility.
6. Borrower interview skills.
7. Documentation and file quality.
8. Pricing, rate locks, and fee accuracy.
9. Processing and underwriting workflow.
10. Closing, funding, rescission, and post-closing.
11. Ethics, fraud, and complaint prevention.
12. Relationship development within RESPA and advertising rules.

1.5 Veteran Guidance

Experienced MLOs typically learn the same lessons through expensive mistakes:

- If you cannot verify it, do not build the loan around it.
- If you cannot explain it, do not sell it.
- If the file depends on hiding something, the file is already broken.
- If a referral partner demands illegal behavior, they are not a partner.
- If a borrower is confused, your job is not done.
- If a deadline is triggered, the clock does not care that you are busy.
- If underwriting asks for something, find out the reason before arguing.
- If compliance says no, learn the rule instead of looking for a workaround.

Chapter 2 - Licensing, NMLS, Sponsorship, and Texas Agency Awareness

2.1 SAFE Act Foundation

The Secure and Fair Enforcement for Mortgage Licensing Act, commonly the SAFE Act, created a licensing and registration framework for mortgage loan originators. Its purpose is consumer protection, accountability, fraud reduction, and uniform minimum standards.

For exam purposes, focus on the functional definition:

An individual is generally acting as a mortgage loan originator when the individual takes a residential mortgage loan application and offers or negotiates residential mortgage loan terms for compensation or gain.

Do not focus only on job title. The exam often describes conduct rather than labels.

2.2 Taking an Application

Taking an application means receiving information from a consumer for a residential mortgage loan request. In practice, this can happen by phone, online form, in person, email, or other approved channel.

Operational caution:

Company policy determines who may collect which information, where it must be entered, and how disclosures are triggered. A new MLO must understand the company's application intake workflow before taking live applications.

2.3 Offering or Negotiating Terms

Offering or negotiating terms includes discussing or presenting mortgage terms such as:

- Loan amount.
- Interest rate.
- APR.
- Payment.
- Product type.
- Term.
- Points.
- Fees.
- Cash to close.
- Rate lock.
- Prepayment penalty.

General education about mortgage concepts is different from offering or negotiating a specific transaction's terms for compensation. The boundary matters.

2.4 Compensation or Gain

Compensation or gain can be direct or indirect. It does not have to be a traditional commission check. It may include salary, bonus, referral benefit, business advantage, or another economic benefit tied to origination activity.

Exam trap:

Someone says they are "only helping" but receives a fee or business benefit. Analyze the activity and benefit, not the person's casual description.

2.5 NMLS Unique Identifier

The NMLS unique identifier is a permanent tracking number assigned to an MLO or entity. It allows consumers, regulators, and companies to identify the person or company connected to mortgage activity.

Operational requirements:

- Use the correct NMLS ID where required.
- Do not use another person's NMLS ID.
- Do not let anyone use yours.
- Keep NMLS records current.
- Report changes as required by law and company policy.

2.6 State-Licensed MLO vs Federally Registered MLO

State-licensed MLOs generally work for non-depository mortgage companies and must meet state licensing requirements through NMLS.

Federally registered MLOs generally work for federally regulated depository institutions or certain regulated subsidiaries and are registered rather than state-licensed for that role.

Exam distinction:

Both may be tracked through NMLS, but licensing and registration are not the same thing.

2.7 Sponsorship

Sponsorship means a licensed company authorizes and assumes responsibility for the MLO's licensed activity. Passing the exam and obtaining an individual license are not enough if sponsorship is required and missing.

Operational rule:

No active sponsorship, no origination activity for that company.

2.8 Temporary Authority

Temporary authority permits certain qualified MLOs to originate for a limited period while a state license application is pending, usually when transitioning from federal registration or from another state license. It is not automatic for everyone and depends on statutory conditions.

Exam strategy:

If a question asks whether someone has temporary authority, look for qualifying prior status, proper application, no disqualifying events, sponsorship, and time limits.

2.9 Texas SML and Texas OCCC

Texas mortgage origination may involve:

- Texas Department of Savings and Mortgage Lending, or SML.
- Texas Office of Consumer Credit Commissioner, or OCCC.

SML commonly regulates mortgage companies, mortgage bankers, and many residential mortgage loan originators. OCCC regulates certain RMLO activity connected to specific product types or lending authority. The correct agency depends on the role, employer, and product.

Operational rule:

A new MLO should never independently decide which Texas license applies. The company must define the license path, sponsorship, products, and permissible activity.

2.10 Texas One-Off Origination

Texas SML guidance is important: Texas does not create a casual "one-off" exception simply because someone originates only one loan or helps a friend for a fee. If the conduct requires licensing and no exemption applies, licensing is required.

Exam application:

If a person takes an application or offers/negotiates terms for compensation or gain in Texas, assume licensing is required unless a clear exemption applies.

2.11 Texas Homestead Sensitivity

Texas homestead and home equity lending are unusually sensitive. Texas Constitution Article XVI, Section 50 and related law can affect whether a lien is valid, what fees are allowed, where closing may occur, what notices are required, and how errors are cured.

Operational rule:

Do not improvise Texas home equity answers. Use company policy and compliance/legal resources.

Part II - Federal Law as Operating Procedure

Chapter 3 - RESPA and Regulation X

3.1 Purpose

RESPA, implemented by Regulation X, protects consumers in federally related mortgage loans by requiring settlement-cost information and prohibiting abusive settlement practices. For an MLO, RESPA is not just a test topic. It governs referral relationships, settlement service provider arrangements, escrow practices, and servicing transfer notices.

3.2 Settlement Services

Settlement services include services connected with real estate settlement, such as:

- Origination.
- Processing.
- Underwriting-related services.
- Appraisal.
- Credit report.
- Title search.
- Title insurance.
- Attorney services.
- Document preparation.
- Survey.
- Pest inspection where applicable.
- Closing or settlement.
- Escrow or tax service.

The broad definition matters because RESPA Section 8 applies to settlement-service referrals.

3.3 Section 8 Kickbacks and Unearned Fees

RESPA Section 8 prohibits giving or receiving a fee, kickback, or thing of value pursuant to an agreement or understanding that settlement-service business will be referred. It also prohibits splitting charges except for services actually performed.

"Thing of value" is broad. It can include:

- Cash.
- Gift cards.
- Tickets.

- Trips.
- Excessive meals.
- Marketing benefits.
- Rent discounts.
- Lead purchases above fair market value.
- Paying expenses for a referral source.
- Sham services.

Operational test:

Ask two questions:

1. Is the payment or benefit connected to referral of settlement-service business?
2. Is real compensable work being performed at fair market value?

If the first answer is yes and the second is no, stop and escalate.

3.4 Affiliated Business Arrangements

An Affiliated Business Arrangement exists when a person refers settlement-service business to a provider with which the referring party has an ownership or other beneficial interest.

General compliance elements:

- Written disclosure of the relationship.
- Estimated charge or range of charges.
- Statement that the consumer is generally not required to use the affiliate.
- No required use, except within limited permitted circumstances.
- Return limited to ownership interest, not referral payment.

Operational warning:

Do not casually refer borrowers to affiliated providers without following company disclosure procedures.

3.5 Home Loan Toolkit / Special Information Booklet

For covered purchase loan applications, the lender must provide the special information booklet, commonly the Home Loan Toolkit, by delivering or placing it in the mail within three business days after application.

Operational note:

This booklet is educational. It does not replace the Loan Estimate.

Exam detail:

If the application is denied before the end of the three-business-day period, the booklet does not have to be provided.

3.6 Escrow Under RESPA

Escrow accounts collect funds for items such as property taxes and insurance. Regulation X governs escrow analysis, initial escrow statements, annual escrow statements, shortages, deficiencies, and surpluses.

Initial escrow statement:

Provided at settlement or within 45 calendar days after settlement when escrow is established as a condition of the loan.

Annual escrow statement:

Provided within 30 days after completion of the escrow computation year.

Surplus:

If a surplus is \$50 or more and the borrower is current, it must be refunded within 30 days from escrow analysis.

Cushion:

Generally no more than one-sixth of annual escrow disbursements, equivalent to about two months.

3.7 Servicing Transfer

Servicing transfer means the party collecting payments changes.

Transferor notice:

Not less than 15 days before effective transfer date.

Transferee notice:

Not more than 15 days after effective transfer date.

Combined notice:

May be sent at least 15 days before effective transfer.

Operational distinction:

Servicing transfer is not the same as loan ownership transfer.

Chapter 4 - TILA, Regulation Z, TRID, and Cost Disclosure

4.1 TILA Purpose

TILA, implemented by Regulation Z, promotes informed use of consumer credit through disclosure of credit terms and costs. In mortgage lending, it affects APR, finance charges, rescission, high-cost mortgages, higher-priced mortgage loans, ability-to-repay, qualified mortgages, advertising, and loan originator compensation.

4.2 APR and Finance Charge

Interest rate is the note rate used to calculate interest on principal.

APR is the cost of credit expressed as a yearly rate, including interest and certain finance charges.

Finance charge is the dollar cost of credit, including charges payable directly or indirectly as a condition of credit.

Operational importance:

Borrowers often shop only rate. A professional MLO explains rate, APR, points, credits, payment, cash to close, and expected time in the loan.

4.3 TRID Application Trigger

TRID application occurs when the creditor receives six items:

1. Consumer name.
2. Consumer income.
3. Social Security number to obtain a credit report.
4. Property address.
5. Estimated property value.
6. Mortgage loan amount sought.

Once the six items are received, the Loan Estimate clock starts. A company may collect additional information, but cannot delay the required Loan Estimate by adding extra application items.

4.4 Loan Estimate

The Loan Estimate must be delivered or placed in the mail within three general business days after receiving an application.

It also must generally be delivered or placed in the mail not later than seven business days before consummation.

Fees before LE:

Generally, the creditor or other person may not impose a fee before the consumer receives the Loan Estimate and indicates intent to proceed, except a bona fide and reasonable credit report fee.

Operational procedure:

1. Identify the application date.
2. Confirm six items.
3. Enter accurate data into LOS.
4. Trigger disclosures through approved workflow.
5. Provide service provider list where required.
6. Document intent to proceed after LE receipt.

4.5 Intent to Proceed

Intent to proceed is the consumer's communication that they want to move forward after receiving the Loan Estimate. It cannot be assumed from silence.

Good documentation:

"Borrower received LE and gave verbal intent to proceed on [date/time] via recorded call. Documented per company procedure."

4.6 Revised Loan Estimate

A revised Loan Estimate may be permitted when there is a valid changed circumstance or other permitted reason.

Common valid reasons:

- Borrower-requested change.
- New information specific to borrower or transaction.
- Information relied upon changes or was inaccurate.
- Extraordinary event beyond control.
- Rate lock event.
- Original LE expires.

General timing:

Provide within three business days after receiving information sufficient to establish the changed circumstance. Consumer must receive revised LE no later than four business days before consummation.

Operational warning:

A revised LE is not a cleanup tool for careless estimating.

4.7 Closing Disclosure

The Closing Disclosure must be received by the consumer at least three specific business days before consummation.

Specific business days include all calendar days except Sundays and legal public holidays.

If not provided in person and there is no evidence of earlier receipt, the consumer is generally deemed to have received it three business days after delivery or mailing.

4.8 CD Changes That Restart the Waiting Period

Only three changes require a new three-business-day waiting period:

1. APR becomes inaccurate.
2. Loan product changes.
3. Prepayment penalty is added.

Other changes may require a corrected CD but do not necessarily restart the waiting period.

4.9 Right of Rescission

The right of rescission allows a consumer to cancel certain non-purchase credit transactions secured by the consumer's principal dwelling.

The rescission period ends at midnight of the third specific business day after the latest of:

- Consummation.
- Delivery of material TILA disclosures.
- Delivery of notice of right to rescind.

Purchase-money mortgages generally do not have the standard right of rescission.

Operational rule:

For refinance or home equity transactions on a principal dwelling, confirm rescission applies before discussing funding timing.

4.10 Loan Originator Compensation

Regulation Z generally prohibits loan originator compensation based on loan terms or conditions. It also prohibits dual compensation from both consumer and another person in the same transaction.

Operational meaning:

The MLO's compensation structure cannot create incentive to steer a borrower into worse terms.

Chapter 5 - ECOA, Fair Lending, FCRA, HMDA, GLBA, UDAAP, and Advertising

5.1 ECOA / Regulation B

ECOA prohibits discrimination in credit transactions.

Protected classes:

- Race.
- Color.
- Religion.
- National origin.
- Sex.

- Marital status.
- Age.
- Receipt of public assistance.
- Exercising rights under consumer credit protection laws.

Operational rule:

Base credit conversations on eligibility, documentation, and program requirements. Avoid personal assumptions.

5.2 Adverse Action

Adverse action includes denial, revocation, unfavorable change, or refusal to grant requested credit on substantially requested terms.

Timing:

Generally notify applicant of action taken within 30 calendar days after receiving a completed application.

Counteroffer:

If a counteroffer is not expressly accepted or used, notify within 90 days after counteroffer notice unless combined notice was used.

Operational standard:

The reason for denial must be specific and accurate. Do not use "incomplete application" when the file was actually denied for credit, income, collateral, or another substantive reason.

5.3 FCRA and FACTA

FCRA governs consumer reports. Mortgage relevance includes:

- Permissible purpose.
- Consumer report authorization.
- Adverse action based on credit report information.
- Identity theft and fraud alerts.
- Accuracy and dispute concepts.

Operational rule:

Do not pull credit without permissible purpose and company-required authorization.

5.4 HMDA

HMDA requires certain lenders to collect and report mortgage data. The purpose is to help evaluate housing credit needs, public investment, and possible discriminatory lending patterns.

Operational relevance:

Applicants may provide demographic monitoring information voluntarily. If they decline in an in-person application, the lender may be required to collect based on visual observation or surname.

5.5 GLBA Privacy

GLBA protects nonpublic personal information.

Operational requirements:

- Use approved systems.
- Verify identity before discussing loan details.
- Do not send documents through personal email or unapproved text.
- Do not leave paper files exposed.
- Do not share borrower information with unauthorized parties.

5.6 UDAAP

UDAAP means unfair, deceptive, or abusive acts or practices.

Unfair:

Substantial consumer injury not reasonably avoidable and not outweighed by benefits.

Deceptive:

Likely to mislead a reasonable consumer and material to the decision.

Abusive:

Takes unreasonable advantage of consumer misunderstanding, lack of ability to protect interests, or reasonable reliance.

Operational examples:

- Advertising a payment without key assumptions.
- Hiding costs until late in the process.
- Implying approval is guaranteed.
- Creating false urgency.
- Misrepresenting government affiliation.

5.7 Advertising and Regulation N

Mortgage advertising must not contain material misrepresentations.

High-risk claims:

- Guaranteed approval.
- No cost.
- Government approved.
- Lowest rate.
- No income needed.
- Everyone qualifies.
- Free refinance.

Operational advertising checklist:

- Is the claim true?
- Can we prove it?
- Are conditions clear?
- Are NMLS IDs included where required?
- Does the ad imply government endorsement?
- Has compliance approved it if required?

Part III - Products, Underwriting, and File Execution

Chapter 6 - Product Knowledge and Suitability

6.1 Product Matching Is Risk Matching

A product is not just a rate sheet option. It is a structure of eligibility, risk, documentation, cost, payment behavior, insurance, collateral requirements, and borrower fit.

Professional product recommendation considers:

- Borrower goal.
- Occupancy.
- Credit profile.
- Income type.
- Assets and reserves.
- Down payment or equity.
- Property type and condition.
- Timeline.
- Cash-to-close tolerance.
- Monthly payment tolerance.
- Expected holding period.
- Future risk, such as ARM adjustments.

6.2 Conventional Loans

Conventional loans are not insured or guaranteed by a federal agency. Conforming loans meet Fannie Mae/Freddie Mac standards. Nonconforming conventional loans may include jumbo or portfolio products.

Operational considerations:

- Credit score and credit history.
- LTV and mortgage insurance.
- Debt ratios and automated underwriting findings.
- Reserves.
- Occupancy.

- Property type.
- Condo or manufactured housing eligibility where applicable.

6.3 FHA Loans

FHA loans are insured by the Federal Housing Administration. They often serve borrowers with lower down payments or more flexible credit profiles, but they have mortgage insurance and property standards.

Operational considerations:

- FHA mortgage insurance.
- Property condition.
- Appraisal requirements.
- Borrower eligibility.
- Debt ratios and compensating factors.
- Manual underwriting possibility.

6.4 VA Loans

VA loans are guaranteed by the Department of Veterans Affairs for eligible borrowers.

Operational considerations:

- Certificate of Eligibility.
- Entitlement.
- Funding fee or exemption.
- Residual income.
- Property requirements.
- Occupancy.

Professional standard:

Explain the VA benefit clearly and respectfully. Do not treat VA borrowers as a niche script.

6.5 USDA Loans

USDA loans support eligible rural or designated-area housing and income-qualified borrowers.

Operational considerations:

- Property eligibility.
- Household income limits.
- Guarantee fee.
- Occupancy.
- Rural eligibility map.

6.6 Jumbo Loans

Jumbo loans exceed conforming loan limits or fail to meet agency standards.

Operational considerations:

- Strong reserves.
- Larger asset documentation.
- Complex income.
- Higher credit standards.
- Investor-specific guidelines.

6.7 ARMs

Adjustable-rate mortgages require careful explanation.

Terms to know:

- Index.
- Margin.
- Fully indexed rate.
- Initial period.
- Adjustment period.
- Initial cap.
- Periodic cap.
- Lifetime cap.

- Floor.

Professional standard:

Do not sell only the start rate. Explain the adjustment risk.

6.8 Texas Home Equity and Cash-Out Caution

In Texas, cash-out and home equity transactions require special attention. The MLO must follow company-specific Texas procedures and should not rely on generic refinancing knowledge.

Operational caution:

If the borrower asks, "Can I pull cash out of my Texas homestead?" the correct professional response is not a casual yes. The correct response is to review eligibility under Texas-specific rules and company policy.

Chapter 7 - The Mortgage File From Lead to Funding

7.1 Lead Intake

Purpose:

Determine borrower need, timeline, property objective, and readiness without creating unsupported promises or triggering unhandled compliance obligations.

Questions:

- Are you buying, refinancing, or looking at home equity?
- What is your target property or property address?
- Is this primary residence, second home, or investment?
- What is your timeline?
- Are you under contract?
- What price range or loan amount are you considering?
- What funds are available for down payment and closing?
- What is your employment and income situation?
- Have you spoken with any other lender?

Do not ask prohibited questions or make assumptions based on protected characteristics.

7.2 Application

Once application is triggered, operational priorities shift:

- Capture accurate data.
- Trigger disclosures.
- Obtain required authorizations.
- Protect private information.
- Start file documentation.
- Explain next steps.

7.3 Document Collection

Document requests should be purposeful. Common documents:

- Pay stubs.
- W-2s.
- Tax returns.
- Bank statements.
- Asset statements.
- ID.
- Purchase contract.
- Insurance contact.
- Gift documentation.
- Divorce decree/support order if relevant and used.
- Business documents for self-employed borrowers.

Professional standard:

Do not collect sensitive documents just because "we might need them." Collect according to program, company, and underwriting requirements.

7.4 Processing

Processing organizes the file, verifies documents, orders services, tracks conditions, and prepares the file for underwriting.

MLO responsibility:

- Make sure processor has context.
- Do not dump a messy file.
- Respond quickly to clarification requests.
- Keep borrower informed without bypassing process.

7.5 Underwriting

Underwriting evaluates:

- Credit.
- Capacity.
- Capital.
- Collateral.
- Compliance.

Underwriting is not personal. It is a risk decision based on documented facts.

Good MLO behavior:

- Read conditions carefully.
- Determine what fact the underwriter is trying to verify.
- Provide complete responses.
- Avoid arguing unsupported assumptions.

7.6 Closing

Closing requires:

- Final approval.
- Cleared conditions.
- Accurate Closing Disclosure.
- Correct cash to close.
- Title readiness.
- Insurance readiness.
- Closing package.
- Compliance with waiting periods.
- Rescission handling where applicable.

MLO field role:

Explain status, prepare borrower, and avoid last-minute surprises.

7.7 Funding and Post-Closing

Funding occurs after closing conditions are satisfied and, where applicable, rescission expires. Post-closing may involve document review, shipping, investor purchase, servicing setup, and notices.

Operational standard:

Do not tell borrowers where to send payments unless relying on official servicing instructions.

Chapter 8 - Underwriting Logic and Documentation Discipline

8.1 Ability to Repay

Ability-to-repay requires a reasonable, good-faith determination that the borrower can repay. Consider factors such as:

- Current or reasonably expected income/assets.
- Employment status if relied upon.
- Monthly mortgage payment.
- Simultaneous loans secured by same dwelling.
- Mortgage-related obligations.
- Current debt obligations, alimony, child support.
- Monthly DTI or residual income.

- Credit history.

Operational implication:

The file must show how repayment ability was verified, not merely asserted.

8.2 Income Quality

Income analysis asks:

- Is it documented?
- Is it stable?
- Is it likely to continue?
- Is it eligible under program guidelines?
- Is it calculated correctly?

Income types require different treatment. Base salary is not the same as overtime, bonus, commission, self-employment, rental, retirement, or public assistance income.

Fair lending rule:

Do not discount income because it comes from public assistance or another protected source.

8.3 Asset Quality

Assets must be:

- Sufficient.
- Verified.
- Sourced where required.
- Eligible for use.
- Consistent with borrower profile.

Red flags:

- Large unexplained deposits.
- Recently opened accounts.
- Cash deposits.
- Borrowed funds disguised as savings.
- Gift funds without documentation.
- Business funds with no analysis.

8.4 Credit Quality

Credit analysis includes:

- Scores.
- Tradeline depth.
- Payment history.
- Revolving utilization.
- Installment debt.
- Collections.
- Public records.
- Bankruptcy/foreclosure seasoning.
- Disputes.
- Inquiries.

Professional standard:

Do not advise borrowers to dispute accurate debts simply to manipulate underwriting.

8.5 Collateral Quality

Collateral analysis asks:

- Is the property eligible?
- Is value supported?
- Is condition acceptable?
- Is title clear enough?
- Is insurance acceptable?
- Is occupancy consistent?
- Is property type acceptable?

MLO mistake:

Ignoring property risk because borrower credit looks strong.

8.6 Occupancy

Occupancy affects risk, pricing, eligibility, and underwriting.

Categories:

- Primary residence.
- Second home.
- Investment property.

Red flags:

- Borrower claims primary residence far from job with no relocation plan.
- Borrower owns comparable nearby home.
- Property appears designed for rental use.
- Insurance or mailing address conflicts with stated intent.

Operational response:

Ask clarifying questions and document. Do not coach the borrower toward the answer that prices best.

Part IV - Math, Timing, and Notices

Chapter 9 - Mortgage Math as an Operating Skill

9.1 Required Formula Mastery

An MLO must know the following formulas without hesitation:

Concept	Formula
LTV	Loan amount / property value
CLTV	Total liens / property value
HCLTV	Total liens including full HELOC line / property value
Down payment	Purchase price - loan amount
Equity	Property value - total liens
Front-end ratio	Housing payment / gross monthly income
Back-end DTI	Total monthly debt / gross monthly income
Hourly monthly income	Hourly rate x weekly hours x 52 / 12
Biweekly monthly income	Biweekly gross x 26 / 12
Semimonthly monthly income	Semimonthly gross x 2
Discount points	Loan amount x point percentage
Daily interest	Loan amount x annual rate / 365 x days
Escrow monthly amount	Annual item / 12
Escrow cushion	Annual escrow disbursements / 6
ARM fully indexed rate	Index + margin
Break-even	Upfront cost / monthly savings

9.2 Worked File Example

Borrower:

- Annual base salary: \$102,000.

- Overtime history: \$9,600 over 24 months.
- Car loan: \$525.
- Credit cards: \$175.
- Student loan: \$250.

Property:

- Purchase price: \$390,000.
- Appraised value: \$400,000.
- Loan amount: \$351,000.
- P&I: \$2,235.
- Taxes: \$650/month.
- Insurance: \$185/month.
- Mortgage insurance: \$115/month.
- HOA: \$0.

Step 1: Base monthly income.

$$\$102,000 / 12 = \$8,500.$$

Step 2: Overtime monthly average.

$$\$9,600 / 24 = \$400.$$

Step 3: Total gross monthly income.

$$\$8,500 + \$400 = \$8,900.$$

Step 4: Housing payment.

$$\$2,235 + \$650 + \$185 + \$115 = \$3,185.$$

Step 5: Front-end ratio.

$$\$3,185 / \$8,900 = 35.79\%.$$

Step 6: Total debt.

$$\$3,185 + \$525 + \$175 + \$250 = \$4,135.$$

Step 7: Back-end DTI.

$$\$4,135 / \$8,900 = 46.46\%.$$

Step 8: LTV.

For purchase using lower of price/value:

$$\$351,000 / \$390,000 = 90\%.$$

Professional interpretation:

The math suggests a possible file, but qualification depends on product, automated underwriting, credit, reserves, mortgage insurance, property, and verified documents.

9.3 Points and Break-Even Example

Facts:

- Loan amount: \$350,000.
- Discount points: 1%.
- Monthly savings from lower rate: \$92.

Cost:

$$\$350,000 \times 0.01 = \$3,500.$$

Break-even:

$$\$3,500 / \$92 = 38.04 \text{ months.}$$

Professional explanation:

"The lower rate saves about \$92 per month, but costs \$3,500 upfront. You break even in about 38 months. If you expect to keep the loan longer, it may make sense. If you expect to sell or refinance sooner, we should compare other options."

9.4 ARM Example

Facts:

- Start rate: 5.75%.

- Index at adjustment: 4.50%.
- Margin: 2.25%.
- Caps: 2/1/5.

Fully indexed rate:

$$4.50\% + 2.25\% = 6.75\%.$$

Initial adjustment cap:

$$5.75\% + 2.00\% = 7.75\%.$$

Result:

6.75% is below the initial cap, so adjusted rate could be 6.75% subject to full note terms.

Lifetime max:

$$5.75\% + 5.00\% = 10.75\%.$$

9.5 Escrow Example

Facts:

- Annual property taxes: \$8,400.
- Annual homeowners insurance: \$2,100.

Monthly escrow:

$$\text{Taxes: } \$8,400 / 12 = \$700.$$

$$\text{Insurance: } \$2,100 / 12 = \$175.$$

Total monthly escrow: \$875.

Annual disbursements:

$$\$8,400 + \$2,100 = \$10,500.$$

Maximum cushion:

$$\$10,500 / 6 = \$1,750.$$

Chapter 10 - Timing, Letters, Disclosures, and Deadline Control

10.1 Business Day Types

General business day:

A day the creditor's offices are open to the public for substantially all business functions.

Specific business day:

All calendar days except Sundays and legal public holidays.

Calendar day:

Every day unless the rule says otherwise.

Operational warning:

The exam tests which definition applies. The field requires systems that calculate it correctly.

10.2 Master Timing Table

Item	Trigger	Deadline	Day Type
Loan Estimate	Six-item application	Within 3 business days after application	General business days
Home Loan Toolkit	Covered purchase application	Within 3 business days after application	General business days
LE before consummation	Consummation approaching	Not later than 7 business days before consummation	Specific rule context
Revised LE	Valid changed circumstance	Within 3 business days of sufficient information; received no later than 4 business days before consummation	General/specific context
Closing Disclosure	Before consummation	Received at least 3 business days before consummation	Specific business days
CD restart	APR inaccurate, product change, prepayment penalty added	New 3-business-day waiting period	Specific business days
ECOA action taken	Completed application	30 days	Calendar days
ECOA counteroffer not accepted	Counteroffer notice	90 days	Calendar days
Rescission	Latest of consummation/disclosures/rescission notice	Midnight of 3rd business day	Specific business days
Creditor after rescission	Receives rescission notice	20 days	Calendar days
Initial escrow statement	Settlement	Settlement or within 45 days	Calendar days
Annual escrow statement	Escrow computation year ends	Within 30 days	Calendar days
Servicing transfer old servicer	Effective transfer date	At least 15 days before	Calendar days
Servicing transfer new servicer	Effective transfer date	No more than 15 days after	Calendar days
Mortgage ownership transfer	Legal ownership transfer	On or before 30th day after transfer	Calendar days
High-cost disclosure	High-cost mortgage	At least 3 business days before consummation/account opening	Rule-specific business days

10.3 Date Counting Examples

Loan Estimate example:

Application received Monday. Creditor open Monday-Friday.

- Tuesday = day 1.
- Wednesday = day 2.
- Thursday = day 3.

LE due Thursday.

Closing Disclosure example:

CD received Wednesday. No holidays.

- Thursday = day 1.
- Friday = day 2.
- Saturday = day 3.

Earliest consummation Saturday if operationally available.

Rescission example:

Refinance closes Friday. Correct notice and material disclosures provided Friday. No holidays.

- Saturday = day 1.
- Sunday excluded.
- Monday = day 2.
- Tuesday = day 3.

Rescission expires midnight Tuesday.

10.4 Notice and Letter Purposes

Loan Estimate:

Gives good-faith estimate of loan terms, projected payments, closing costs, and cash to close.

Closing Disclosure:

Gives final or near-final loan terms and costs before consummation.

Adverse Action Notice:

Explains credit denial or other adverse action and reasons or right to reasons.

Notice of Incompleteness:

Tells borrower what is missing, deadline to provide it, and consequence of failure.

Servicing Transfer Notice:

Tells borrower who will collect payments and when transfer occurs.

Mortgage Ownership Transfer Disclosure:

Tells borrower legal ownership of the loan changed.

Initial Escrow Statement:

Shows expected escrow activity for first escrow period.

Annual Escrow Statement:

Shows escrow account history, projection, and surplus/shortage.

Notice of Right to Rescind:

Tells consumer they may cancel certain transactions within the rescission period.

10.5 Operational Deadline Control

Every company should have system controls. A professional MLO should still personally understand the critical clocks:

- Application date.
- LE issue date.
- LE receipt date.
- Intent to proceed date.
- Changed circumstance date.
- Revised LE date.
- CD issue date.
- CD receipt date.
- Scheduled consummation date.
- Rescission expiration date.
- Funding date.

File note standard:

Use dates, times, channel, and action. Avoid vague notes like "borrower good" or "sent stuff."

Better note:

"05/25/2026 2:15 PM CT: Borrower uploaded April/May bank statements. Large deposit of \$6,500 on 05/10 identified; requested source documentation through portal."

Part V - Ethics, Fraud, and Professional Conduct

Chapter 11 - Ethics Under Pressure

11.1 Why Ethics Is Operational

Ethics is not a personality trait in mortgage lending. It is a set of repeatable behaviors under pressure:

- Tell the truth.
- Do not hide material facts.
- Do not discriminate.
- Do not steer.
- Do not accept illegal compensation.
- Do not pressure valuation.
- Do not misuse borrower data.
- Do not promise what is not approved.
- Do not submit false documents.
- Escalate concerns early.

11.2 Steering

Steering occurs when the MLO directs the borrower to terms or products not in the borrower's interest because it benefits the MLO, company, or third party.

Prevention:

- Present suitable options.
- Explain tradeoffs.
- Document borrower goals.
- Avoid compensation-driven recommendations.

11.3 Redlining

Redlining is refusing or limiting credit in certain geographic areas based on prohibited characteristics instead of legitimate credit risk.

Prevention:

- Serve consistently.
- Market fairly.
- Apply criteria uniformly.
- Avoid neighborhood stereotypes.

11.4 Fraud Categories

Fraud for housing:

Misrepresentation to obtain a home.

Fraud for profit:

Scheme by insiders or organized parties to extract money.

Common fraud types:

- Occupancy fraud.
- Income fraud.
- Employment fraud.
- Asset fraud.
- Straw buyer.
- Identity theft.
- Appraisal manipulation.
- Undisclosed liabilities.
- Silent second mortgage.
- Gift fund fraud.

11.5 Red Flags

Borrower red flags:

- Reluctance to provide documents.

- Documents appear altered.
- Income inconsistent with job.
- Large unexplained deposits.
- Occupancy story does not make sense.
- Borrower seems controlled by another party.
- Employer contact suspicious.
- Pressure to close unusually fast without explanation.

Transaction red flags:

- Seller concessions unusually high.
- Sale price unsupported.
- Parties related but undisclosed.
- Multiple recent transfers.
- Title problems.
- Unusual power of attorney.
- Appraisal pressure.

MLO response:

Do not accuse casually. Document, ask appropriate questions, and escalate according to company policy.

11.6 Scripts for Ethical Refusal

Hidden debt:

"We cannot leave out a known obligation. The application has to be accurate. We can document it and review options."

False income:

"I cannot change income to make the file qualify. Income must be documented and supported."

Referral fee:

"I cannot pay or receive anything of value for a settlement-service referral. Compliance must review any marketing arrangement."

Appraisal pressure:

"We cannot pressure value. If there are factual errors or supported comparable sales, we can use the approved reconsideration process."

Guarantee request:

"I cannot guarantee approval or closing until the file clears underwriting, appraisal, title, conditions, and closing requirements."

Part VI - Exam Preparation Integrated With Operations

Chapter 12 - How the SAFE Exam Thinks

12.1 The Exam Is Scenario-Based

The exam often presents a real-world fact pattern. It is testing whether you can identify:

- Which law applies.
- What triggered the duty.
- Who must act.
- What deadline applies.
- What conduct is prohibited.
- What action protects the consumer and file.

12.2 Question Attack Method

For each question:

1. Identify the actor: MLO, creditor, broker, servicer, lender, appraiser, settlement provider.
2. Identify stage: inquiry, application, disclosure, processing, underwriting, closing, servicing.
3. Identify law: RESPA, TILA, ECOA, FCRA, HMDA, GLBA, SAFE, state law, ethics.
4. Identify trigger: application, completed application, consummation, transfer date, changed circumstance.
5. Identify clock: business days, specific business days, calendar days.
6. Eliminate illegal or self-serving answers.

7. Choose the answer that is accurate, documented, timely, and consumer-protective.

12.3 Content Weight Strategy

NMLS outline weights:

- Mortgage Loan Origination Activities: 27%.
- Federal Mortgage Related Laws: 24%.
- General Mortgage Knowledge: 20%.
- Ethics: 18%.
- Uniform State Content: 11%.

Study implication:

You cannot pass through vocabulary alone. You need workflow, law, ethics, products, and calculations.

12.4 Wrong Answer Patterns

Wrong answers often:

- Delay required disclosures.
- Allow unlicensed activity.
- Pay referral fees.
- Hide debt.
- Rely on unsupported income.
- Use protected characteristics.
- Pressure appraisers.
- Promise approval.
- Ignore privacy.
- Confuse ownership transfer with servicing transfer.
- Treat all fee changes the same.
- Use net income for DTI.
- Assume Texas one-off origination is allowed.

12.5 Mixed Practice Set

1. A borrower gives all six TRID items on Monday. Creditor is open Monday-Friday. When is the LE due?

Answer: Thursday.

1. A borrower asks if you can wait to send the LE until after bank statements are reviewed.

Answer: No. Verification documents cannot be required before issuing the LE.

1. A real estate agent offers \$500 per closed referral.

Answer: Decline and escalate. RESPA Section 8 concern.

1. A CD was received Monday. On Tuesday, the APR becomes inaccurate.

Answer: Corrected CD and new three-business-day waiting period.

1. A purchase-money mortgage closes Friday. Borrower asks to rescind Monday.

Answer: Standard TILA rescission generally does not apply to purchase-money mortgage.

1. Gross monthly income is \$8,000. Housing is \$2,700. Other debts are \$850. Back-end DTI?

Answer: $(\$2,700 + \$850) / \$8,000 = 44.38\%$.

1. First lien is \$300,000. HELOC limit is \$50,000. Value is \$400,000. HCLTV?

Answer: 87.5%.

1. Servicing transfers effective July 1. When must old servicer generally send notice?

Answer: At least 15 days before effective transfer date.

1. Loan ownership transfers but servicer remains same. Is this a servicing transfer?

Answer: No. Ownership transfer and servicing transfer are separate.

1. Borrower says a private loan does not show on credit and asks to omit it.

Answer: Refuse to omit known debt. Document and count as required.

12.6 Five-Day Intensive Use Plan

Day 1:

- Chapters 1-2.
- Flashcards 51-70.
- Drill licensing and Texas agency questions.

Day 2:

- Chapters 3-5.
- Flashcards 1-50.
- Drill RESPA, TILA, TRID, ECOA timing.

Day 3:

- Chapters 6-8.
- Flashcards 71-100.
- Drill products, workflow, underwriting, documentation.

Day 4:

- Chapters 9-10.
- Complete 40 math/timing questions.
- Write formulas and deadlines from memory.

Day 5:

- Chapter 11-12.
- Mixed practice.
- Review only missed concepts.
- Final night: formulas, deadlines, ethics scenarios, sleep.

Appendix A - Master Formula Table

Topic	Formula	Example
LTV	Loan amount / value	$\$240,000 / \$300,000 = 80\%$
CLTV	Total liens / value	$\$270,000 / \$300,000 = 90\%$
HCLTV	Liens including full HELOC line / value	$\$350,000 / \$400,000 = 87.5\%$
Down payment	Price - loan amount	$\$400,000 - \$360,000 = \$40,000$
Equity	Value - liens	$\$500,000 - \$320,000 = \$180,000$
Front-end ratio	Housing / gross monthly income	$\$2,400 / \$8,000 = 30\%$
Back-end DTI	Total debt / gross monthly income	$\$3,600 / \$8,000 = 45\%$
Annual to monthly	Annual / 12	$\$96,000 / 12 = \$8,000$
Hourly to monthly	Rate x hours x 52 / 12	$\$25 \times 40 \times 52 / 12 = \$4,333.33$
Biweekly to monthly	Pay x 26 / 12	$\$2,600 \times 26 / 12 = \$5,633.33$
Semimonthly to monthly	Pay x 2	$\$3,000 \times 2 = \$6,000$
Points	Loan x points %	$\$300,000 \times 1\% = \$3,000$
Daily interest	Loan x rate / 365 x days	$\$300,000 \times 6.5\% / 365 \times 10 = \534.25
Escrow monthly	Annual item / 12	$\$7,200 / 12 = \600
Escrow cushion	Annual escrow / 6	$\$7,200 / 6 = \$1,200$
ARM fully indexed	Index + margin	$4.25\% + 2.25\% = 6.50\%$
Break-even	Cost / monthly savings	$\$4,000 / \$100 = 40 \text{ months}$

Appendix B - Master Deadline Table

Requirement	Deadline
Loan Estimate	Within 3 general business days after application
Home Loan Toolkit	Within 3 general business days after covered purchase application
Closing Disclosure	Received at least 3 specific business days before consummation
CD restart	APR inaccurate, loan product change, prepayment penalty added
Revised LE	Within 3 business days of valid change; received no later than 4 business days before consummation
ECOA action taken	30 calendar days after completed application
ECOA counteroffer not accepted	90 calendar days after counteroffer notice
Rescission	Midnight of 3rd specific business day after last trigger
Creditor after rescission notice	20 calendar days
Initial escrow statement	Settlement or within 45 calendar days
Annual escrow statement	Within 30 calendar days after escrow computation year ends
Escrow surplus refund	Within 30 calendar days if surplus is \$50 or more and borrower current
Servicing transfer old servicer	At least 15 days before effective transfer
Servicing transfer new servicer	Not more than 15 days after effective transfer
Mortgage ownership transfer	On or before 30th calendar day after transfer
High-cost mortgage disclosure	At least 3 business days before consummation/account opening

Appendix C - First 90-Day Professional Development Plan

Days 1-30

Objective:

Become safe, coachable, and operationally reliable.

Focus:

- Licensing boundaries.
- LOS/CRM workflow.
- Disclosure process.
- Document collection.
- Pipeline notes.
- Product basics.
- Company escalation channels.

Daily practice:

- Review one funded file.
- Study one guideline topic.
- Listen to one veteran call.
- Write one borrower explanation script.

Days 31-60

Objective:

Develop file ownership and borrower communication rhythm.

Focus:

- Prequalification quality.

- Rate/payment explanation.
- Cash-to-close explanation.
- Condition clearing.
- Agent updates.
- Referral conversations.

Daily practice:

- Calculate DTI manually before system reliance.
- Identify one file risk before processing flags it.
- Ask processor or underwriter one targeted question.

Days 61-90

Objective:

Become trusted with live files and referral relationships.

Focus:

- Pipeline management.
- Compliance-safe marketing.
- Clean referral communication.
- Scenario handling.
- Repeatable closing process.

Professional benchmark:

You are ready for more autonomy when your files are accurate, your notes are clear, your borrowers understand the process, your processors trust your submissions, and your managers do not have to clean up your promises.

Appendix D - Operational SOP Library

D.1 New Lead SOP

Purpose:

Convert a lead into a properly handled inquiry or application without creating fair-lending, privacy, licensing, advertising, or disclosure problems.

Step 1: Identify source.

- Direct consumer inquiry.
- Real estate agent referral.
- Builder referral.
- Past client.
- Online lead.
- Company marketing.
- Personal network.

Risk control:

If the lead came from a referral partner, confirm there is no illegal fee, gift, or thing of value tied to the referral.

Step 2: Confirm identity enough for conversation.

Do not disclose private information to an unauthorized person. If a spouse, agent, parent, or assistant is calling, know what you can and cannot discuss.

Step 3: Understand the transaction.

Ask:

- Purchase, refinance, cash-out, home equity, construction, or other?
- State and property location?
- Primary residence, second home, or investment?
- Under contract or still shopping?
- Target closing date?
- Estimated price/value?
- Desired loan amount?

- Down payment/equity?
- Employment and income type?

Step 4: Avoid prohibited assumptions.

Do not infer qualification or risk from race, ethnicity, religion, national origin, sex, marital status, age, public assistance, family status assumptions, neighborhood stereotypes, disability, accent, or personal background.

Step 5: Determine whether application is being taken.

If the six TRID items are collected, the application clock starts. If not, treat as inquiry/general discussion.

Step 6: Create a clean CRM/LOS record.

Minimum professional note:

"Lead received from [source] on [date/time]. Borrower interested in [purchase/refi/etc.] for [property/general area]. Discussed general process only / application started. No rate lock or approval promised."

Step 7: Next action.

- If inquiry: schedule application or follow-up.
- If application: trigger company disclosure workflow.
- If outside product/license authority: refer internally according to company policy.

D.2 Application Intake SOP

Purpose:

Collect application information accurately, trigger disclosures, and begin a file that can survive underwriting and compliance review.

Required discipline:

Use company-approved systems. Do not keep borrower application details in personal notes, unapproved spreadsheets, or text threads.

Application intake sequence:

1. Confirm borrower identity.
2. Confirm transaction type.
3. Collect six TRID items.
4. Confirm occupancy intent.
5. Collect income and employment information.
6. Collect asset and down payment information.
7. Collect liabilities and real estate owned.
8. Obtain required credit authorization before pulling credit.
9. Enter data accurately into LOS.
10. Trigger disclosure workflow.
11. Explain document request.
12. Set expectations for next contact.

Quality control questions before submitting:

- Are names spelled exactly as legal ID/application requires?
- Is property address complete?
- Is estimated value reasonable and source noted?
- Is requested loan amount entered correctly?
- Is income entered as gross monthly where required?
- Is occupancy consistent with borrower story?
- Has borrower authorized credit?
- Are all borrowers included?
- Is communication preference documented?

Common new-MLO errors:

- Entering annual income as monthly income.
- Omitting HOA dues.
- Missing child support/alimony obligations.
- Failing to ask about other real estate owned.
- Assuming spouse must be on loan.
- Pulling credit before proper authorization.
- Promising approval after automated prequalification.

D.3 Document Request SOP

Purpose:

Request documents in a way that is clear, justified, secure, and useful to underwriting.

Professional document request format:

- What document is needed.
- Date range or period required.
- Whether all pages are needed.
- Why it is needed in plain language.
- Secure upload method.
- Deadline.

Example:

"Please upload all pages of your most recent two monthly bank statements for the checking account ending 1234 through the secure portal by Thursday. Underwriting uses these to verify funds for closing and review large deposits."

Do not say:

"Send whatever bank stuff you have."

Document standards:

- All pages means all pages, including blank pages.
- Screenshots may not be acceptable.
- Altered PDFs are red flags.
- Password-protected documents need approved handling.
- Documents should be uploaded through secure channels.

D.4 Preapproval / Prequalification SOP

Purpose:

Communicate borrower readiness without overstating approval.

Key distinction:

Prequalification is often based on limited, unverified information.

Preapproval may involve deeper review, credit, income, assets, and automated underwriting, depending on company policy.

Professional language:

"Based on the information reviewed so far, you appear to meet initial criteria subject to full underwriting, appraisal, title, insurance, updated documentation, and final approval."

Avoid:

- "You are guaranteed approved."
- "This is a done deal."
- "Underwriting will not be an issue."
- "We can definitely close by Friday."

D.5 Rate Quote SOP

Purpose:

Quote rates accurately and compliantly.

Before quoting, confirm:

- Loan purpose.
- Property state.
- Occupancy.
- Property type.
- Credit profile or score assumptions.
- Loan amount.
- Estimated value or purchase price.
- LTV.
- Product type.

- Lock period.
- Points or credits.
- APR assumptions.
- Whether taxes/insurance/MI are included in payment.

Professional rate quote should include:

- Interest rate.
- APR where required.
- Points or credits.
- Lock period or floating status.
- Payment components.
- Cash-to-close assumptions.
- Date/time quote is valid.
- Subject-to-change language.

Field warning:

A rate without assumptions is usually a misunderstanding waiting to happen.

D.6 Rate Lock SOP

Purpose:

Lock a rate only when borrower, property, product, and company requirements support it.

Confirm:

- Borrower intent.
- Correct loan program.
- Correct loan amount.
- Correct property address.
- Correct occupancy.
- Correct lock period.
- Expected closing date.
- Pricing adjustments.
- Points/credits.
- Company lock policy.

File note:

"Rate locked on [date/time] for [program], [loan amount], [rate], [points/credit], [lock period], property [address]. Borrower notified lock expires [date]."

Risk:

Incorrect lock data can create pricing disputes, redisclosure issues, extension costs, and borrower complaints.

D.7 Changed Circumstance SOP

Purpose:

Identify valid reasons for fee or term changes and document them before redisclosure.

Process:

1. Identify what changed.
2. Identify when the company learned it.
3. Determine whether it is a valid changed circumstance or other permitted reason.
4. Determine affected charges.
5. Determine tolerance category.
6. Redisclose within required timing if permitted/required.
7. Document clearly.

Good note:

"Borrower requested loan amount increase from \$320,000 to \$340,000 on 05/25/2026 at 10:20 AM. Pricing and title charges affected. Revised LE requested same day."

Bad note:

"Fees changed."

D.8 Closing Preparation SOP

Purpose:

Prevent closing failures and borrower surprises.

Checklist:

- Final approval confirmed.
- Conditions cleared or assigned.
- CD issued and receipt confirmed.
- Waiting period satisfied.
- Cash to close reviewed.
- Wire instructions warning provided through approved process.
- Borrower ID requirements confirmed.
- Signing appointment confirmed.
- Insurance binder accepted.
- Title clear to close.
- Rate lock not expiring before funding.
- Rescission applies or does not apply.

Borrower call structure:

1. Confirm appointment.
2. Review cash to close.
3. Warn about wire fraud using company language.
4. Confirm ID.
5. Explain signing vs funding if rescission applies.
6. Give next contact point.

D.9 Complaint Prevention SOP

Most complaints come from surprise, confusion, delay, or feeling misled.

Prevention habits:

- Set expectations early.
- Explain what is conditional.
- Return calls/messages consistently.
- Document material conversations.
- Do not blame other departments.
- Explain cost changes immediately.
- Use written follow-up after important conversations.
- Escalate angry borrowers early.

Complaint-risk phrases:

- "Do not worry about it."
- "This always closes."
- "The underwriter is being difficult."
- "I promise."
- "That fee will probably go away."
- "Just sign it now and we will fix it later."

Professional replacement:

"Here is what we know, here is what is still pending, here is who owns the next step, and here is when I will update you."

Appendix E - Document and Red Flag Matrix

E.1 Income Document Matrix

Income Type	Common Documents	Main Risk	Field Questions
Salary	Pay stubs, W-2s, VOE	Job change, unpaid leave	How long employed? Any known changes?
Hourly	Pay stubs, W-2s, VOE	Variable hours	Guaranteed hours? Average hours?
Overtime	Pay stubs, W-2s, VOE	Continuance/history	How long received? Is it likely to continue?
Bonus	Pay stubs, W-2s, employer history	Irregular or declining	Paid annually, quarterly, discretionary?
Commission	Pay stubs, W-2s, tax returns where required	Volatility, unreimbursed expenses where relevant	How long commission-based? Trend?
Self-employed	Personal/business returns, P&L, business docs	Gross receipts mistaken for income	Ownership %, years in business, industry trend?
Retirement	Award letters, statements, 1099s	Continuance	Is income lifetime, term, or asset-depletion based?
Social Security/disability	Award letter, bank statements, 1099	Continuance/documentation	Is it borrower income? Any expiration?
Rental	Leases, tax returns, appraisal rent schedule	Vacancy/expense treatment	Is property current, new, departing residence?
Support income	Divorce decree, court order, proof of receipt	Voluntary use, continuance	Does borrower want to use it? History?

E.2 Asset Document Matrix

Asset Type	Common Documents	Main Risk	Field Handling
Checking/savings	Bank statements	Large deposits, overdrafts	Request all pages and source deposits
Retirement	Account statements	Access, liquidation terms	Verify vested/accessibility if needed
Gift funds	Gift letter, donor evidence, transfer proof	Undisclosed loan	Follow program gift rules exactly
Business funds	Business statements, CPA/company docs	Impact on business	Escalate to underwriting guidelines
Sale of asset	Bill of sale, deposit proof	Value/source	Paper trail from sale to deposit
Earnest money	Contract, cleared check, bank statement	Source of deposit	Verify from acceptable source
Cash on hand	Rarely acceptable	No paper trail	Do not assume acceptable

E.3 Credit Red Flag Matrix

Red Flag	Why It Matters	MLO Action
Recent late payments	Credit risk and program eligibility	Ask for facts, do not create excuses
Undisclosed debt	DTI and misrepresentation	Include/document as required
Credit freeze	Credit access delay	Give borrower approved instructions
Fraud alert	Identity verification	Follow company procedure
Many inquiries	New debt risk	Ask about new accounts
Disputed accounts	Underwriting treatment	Escalate to guideline review
Bankruptcy/foreclosure	Waiting period/eligibility	Verify dates and documents
Tax liens/judgments	Title, repayment, eligibility	Escalate early

E.4 Property Red Flag Matrix

Red Flag	Why It Matters	MLO Action
Property condition issues	Appraisal/program eligibility	Set expectations, do not ignore
Unpermitted additions	Value/title/insurance risk	Escalate to appraisal/title
Mixed-use property	Product eligibility	Verify guidelines
Non-warrantable condo	Conventional eligibility	Review condo options early
Rural acreage	Appraisal/program limits	Review collateral rules
Flood zone	Insurance requirement	Identify early
Recent flip	Appraisal/investor rules	Verify seasoning and documentation
Title defects	Closing risk	Coordinate title early

E.5 Fraud Red Flag Matrix

Red Flag	Possible Issue	Required Mindset
Borrower does not control own email/phone	Straw buyer or coercion	Verify borrower intent
Employer email is generic/free account	Fake employment	Escalate verification
Bank statements look altered	Asset fraud	Do not submit as clean
Income inconsistent with occupation	Income fraud	Ask/document/escalate
Occupancy story conflicts with facts	Occupancy fraud	Clarify and document
Gift donor expects repayment	Undisclosed debt	Not a true gift
Agent pressures appraisal value	Valuation pressure	Use approved process only
Parties discourage direct borrower contact	Straw buyer/coercion	Escalate

Appendix F - Deep Exam Prep: Law-by-Law Operational Questions

F.1 RESPA Questions You Must Be Able to Answer

1. Is this a settlement service?
2. Is anything of value being exchanged?
3. Is there an agreement or understanding for referrals?
4. Was an actual service performed?
5. Is compensation reasonably related to service value?
6. Is there an affiliated business relationship?
7. Was the AfBA disclosure given?
8. Is the borrower required to use the affiliate?
9. Is escrow being established?
10. Is servicing being transferred?

Exam answer pattern:

When in doubt, reject referral compensation and choose disclosure, consumer choice, and documented services.

F.2 TILA/TRID Questions You Must Be Able to Answer

1. Has an application been received?
2. Were all six TRID items received?
3. When is the LE due?

4. Has intent to proceed been documented?
5. Was a fee charged too early?
6. Did a changed circumstance occur?
7. Is revised LE permitted?
8. Has the CD been received?
9. Does a CD change restart the waiting period?
10. Does rescission apply?
11. Is the APR accurate?
12. Is loan originator compensation compliant?

Exam answer pattern:

Choose the response that follows timing, avoids unauthorized fees, and gives accurate disclosures before the borrower is obligated.

F.3 ECOA Questions You Must Be Able to Answer

1. Was there discrimination based on a protected class?
2. Was the application complete?
3. Was adverse action taken?
4. Was notice timely?
5. Are denial reasons specific?
6. Was public assistance income treated lawfully?
7. Were marital-status questions permitted?
8. Was monitoring information collected properly?

Exam answer pattern:

Credit decisions must be based on creditworthiness and lawful criteria, not protected characteristics or assumptions.

F.4 FCRA Questions You Must Be Able to Answer

1. Was there permissible purpose?
2. Was credit authorization obtained according to company policy?
3. Did credit report information contribute to adverse action?
4. Are fraud alerts or identity theft issues present?
5. Is consumer report information being safeguarded?

Exam answer pattern:

Do not pull, use, or disclose consumer report information casually.

F.5 Texas Questions You Must Be Able to Answer

1. Is the activity taking an application?
2. Is the activity offering or negotiating terms?
3. Is compensation or gain involved?
4. Is an exemption clearly present?
5. Is the person sponsored and active?
6. Does SML or OCCC jurisdiction matter?
7. Is Texas homestead/home equity involved?
8. Is advertising properly identified with NMLS information?

Exam answer pattern:

Choose licensing, sponsorship, regulator authority, and Texas-specific caution over informal shortcuts.

Appendix G - Borrower Communication Playbook

G.1 First Buyer Education Script

"My job is to help you understand options, collect accurate information, and move the file through the loan process. The important thing to know upfront is that early numbers are based on information available at that time. Final approval depends on underwriting, appraisal, title, insurance, program requirements, and accurate

documentation."

G.2 Document Friction Script

"I understand the document request feels repetitive. The reason we ask for complete documents is that underwriting has to verify the same facts used for approval. Missing pages, screenshots, or unexplained deposits usually create delays later."

G.3 Cost Change Script

"Let's separate the numbers. Some items are lender charges, some are third-party charges, some are prepaid items, and some are escrow deposits. I want to identify exactly what changed, why it changed, and whether a disclosure update or cure is required."

G.4 Denial / Cannot Qualify Script

"Based on the information reviewed, this file does not currently meet the requirements for approval. I know that is not the answer you wanted. I can explain the main reasons, what would need to change, and what the official notice will cover."

G.5 Agent Update Script

"The file is currently at [stage]. The next required item is [item], owned by [party], with expected timing of [timing]. I cannot guarantee closing until underwriting and closing conditions are complete, but I will update you when the status changes."

G.6 Processor Handoff Note Template

Borrower:

Transaction:

Property:

Loan program discussed:

Key dates:

Income summary:

Asset summary:

Credit concerns:

Property concerns:

Known red flags:

Borrower expectations set:

Missing documents:

Next borrower contact:

G.7 Underwriting Escalation Template

Issue:

Why it matters:

Documents reviewed:

Borrower explanation:

Guideline question:

Requested decision or clarification:

Deadline impact:

Appendix H - Operational Case Studies

H.1 Case Study: Strong Income, Weak Assets

Facts:

Borrower earns \$140,000 annually, has excellent credit, but has only \$4,000 verified funds. Purchase requires \$18,000 cash to close. Borrower says family will "help if needed."

Operational analysis:

Income does not solve funds-to-close. Gift funds may be possible if program allows, but must be documented. Borrower cannot rely on vague future help.

MLO action:

- Explain cash-to-close gap.
- Discuss acceptable sources.
- Request gift documentation if applicable.
- Do not issue unrealistic preapproval.

Exam concept:

Assets must be verified and acceptable.

H.2 Case Study: Low Rate, High Points

Facts:

Borrower wants the lowest rate. Option A is 6.75% with no points. Option B is 6.25% with \$8,000 in points and saves \$180/month.

Break-even:

$\$8,000 / \$180 = 44.44$ months.

Professional discussion:

If borrower expects to keep loan longer than 44 months, Option B may make sense. If borrower expects to sell/refinance in two years, Option A may be better. Do not say one option is best without borrower goal context.

Exam concept:

Ethical product explanation requires cost and benefit disclosure, not rate-only selling.

H.3 Case Study: Occupancy Conflict

Facts:

Borrower applies for primary residence loan in Austin but works in Dallas, owns a current Dallas home, and gives no relocation plan.

Operational risk:

Potential occupancy misrepresentation.

MLO action:

- Ask for explanation.
- Document relocation/employment plan if legitimate.
- Escalate if inconsistent.
- Do not coach borrower to say "primary" for better pricing.

Exam concept:

Occupancy fraud and misrepresentation.

H.4 Case Study: Changed Fee

Facts:

Initial LE disclosed recording/title bucket at \$1,200. Actual bucket is \$1,390. No valid changed circumstance.

Allowed increase:

$\$1,200 \times 10\% = \120 .

Allowed total:

\$1,320.

Cure:

\$1,390 - \$1,320 = \$70.

Exam concept:

10% cumulative tolerance bucket.

H.5 Case Study: Incomplete Application

Facts:

Borrower applies but refuses to provide income documents. Creditor does not have enough information for a credit decision.

Operational options:

- Send notice of incompleteness identifying missing information and deadline.
- If adverse action is taken, provide proper notice within applicable timing.

Wrong approach:

Let file sit indefinitely with no clear notice.

Exam concept:

ECOA timing and incomplete application handling.

Appendix I - Trainer-Led Five-Day Intensive Agenda

Day 1: Licensing, Role, and Federal Law Map

Morning:

- MLO operating model.
- SAFE Act definition.
- NMLS, sponsorship, temporary authority.
- Texas SML/OCCC overview.

Afternoon:

- RESPA and TILA overview.
- TRID six-item application drill.
- LE/CD timing exercises.

Homework:

- Write the MLO definition from memory.
- Complete 20 law flashcards.
- Explain RESPA Section 8 in plain English.

Day 2: Disclosures, Fair Lending, and Notices

Morning:

- ECOA adverse action.
- FCRA credit authorization.
- HMDA monitoring.
- GLBA privacy.

Afternoon:

- Letter deadlines.
- Date counting.
- Notice of incompleteness.
- Servicing vs ownership transfer.

Homework:

- Complete 20 timing drills.
- Write deadline table from memory.

Day 3: Products and Underwriting

Morning:

- Conventional, FHA, VA, USDA, jumbo.
- Fixed vs ARM.
- Mortgage insurance.

Afternoon:

- Borrower interview role-play.
- Document matrix.
- Underwriting logic.
- Property and occupancy red flags.

Homework:

- Build a mock borrower profile.
- Identify likely documentation needs.

Day 4: Math and File Execution

Morning:

- LTV, CLTV, HCLTV.
- Income conversions.
- Front-end and back-end DTI.
- Points, escrow, prepaid interest.

Afternoon:

- Full case math.
- Changed circumstance SOP.
- Rate quote and lock SOP.
- Closing preparation SOP.

Homework:

- 40 math problems.
- 10 date-counting problems.

Day 5: Ethics, Fraud, Exam Simulation, and Field Readiness

Morning:

- Steering, redlining, UDAAP.
- Fraud red flags.
- Appraisal independence.
- RESPA referral pressure.

Afternoon:

- 60-question mixed drill.
- Review missed categories.
- First 90-day field plan.
- Mentor Q&A.

Homework:

- Review missed items only.
 - Sleep before exam.
-

Appendix J - Final Mastery Standards

You are not ready if you only recognize terms. You are ready when you can do the following without notes:

J.1 Licensing Mastery

- Define MLO activity.
- Explain active license and sponsorship.
- Distinguish state license and federal registration.
- Explain why Texas one-off origination is not automatically exempt.
- Identify SML/OCCC as Texas regulatory authorities.

J.2 Federal Law Mastery

- Explain RESPA Section 8 with examples.
- Explain TRID application trigger.
- Count LE and CD timing.
- Explain ECOA protected classes.
- Explain adverse action timing.
- Explain FCRA permissible purpose.
- Explain HMDA monitoring information.
- Explain GLBA privacy.
- Identify UDAAP risk.

J.3 Math Mastery

- Calculate LTV, CLTV, HCLTV.
- Calculate front-end and back-end DTI.
- Convert income to monthly.
- Calculate points.
- Calculate daily interest.
- Calculate escrow cushion.
- Explain break-even on points.
- Explain ARM index plus margin.

J.4 Operational Mastery

- Conduct intake without prohibited questions.
- Trigger disclosures on time.
- Request documents clearly.
- Identify red flags.
- Hand off clean files to processing.
- Explain CD and cash to close.
- Avoid unsupported promises.
- Escalate compliance concerns.

J.5 Ethics Mastery

- Refuse referral fees.
- Refuse false documentation.
- Refuse hidden debt.
- Avoid steering.
- Avoid appraisal pressure.
- Protect borrower data.
- Document truthfully.

Professional closing standard:

The safest MLO is not timid. The safest MLO is disciplined. Discipline means knowing the rules, explaining them clearly, and refusing to let pressure turn a loan file into a liability.